Accounts Payable Invoice Check: Three-Way Match Model

Excel model · Sample data: 15 fictional vendors, 180 PO lines, 200 invoices (Jul–Oct 2026), with errors planted for testing

200
invoices tested

37
put on hold (18.5%)

₹1.47 cr
invoice value on hold

₹11.4 lakh
duplicate payments stopped

18
MSME invoices on hold

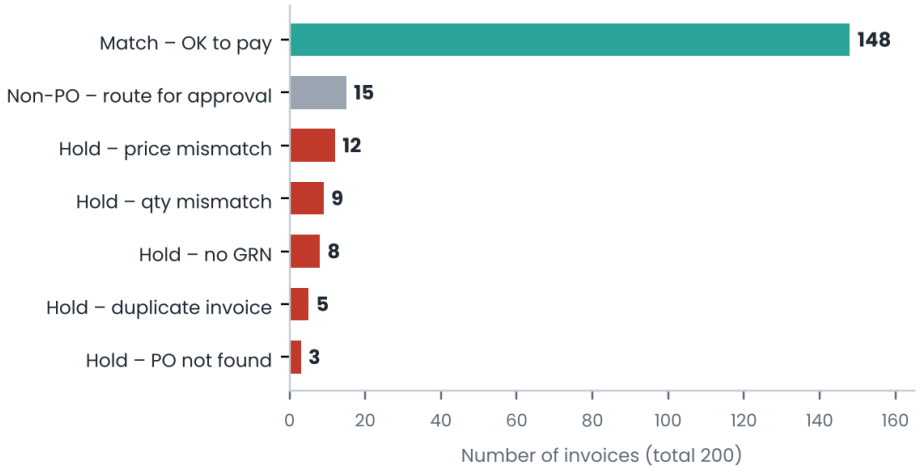
How each invoice is checked

- **Price:** invoice unit price vs PO price, within ±2% tolerance.
- **Quantity:** invoice quantity vs goods received (GRN), zero tolerance: strict three-way match.
- **Duplicates and missing documents:** repeated invoice numbers, no GRN, or no matching PO go on hold.
- **Non-PO invoices** are routed for approval instead of being matched.

Invoices on hold, by reason

Hold reason	Invoices	Amount on hold
Price mismatch	12	₹46.7 lakh
Quantity mismatch	9	₹40.6 lakh
No GRN	8	₹38.3 lakh
Duplicate invoice	5	₹11.4 lakh
PO not found	3	₹10.1 lakh
Total on hold	**37**	**₹1.47 crore**

Result for all 200 invoices



What the review flags

- ₹1.9 lakh billed above agreed PO prices on price-mismatch invoices.
- Highest hold rate: Aravalli Pipes and Valves, 5 of 10 invoices.
- 18 held invoices are from MSME vendors, so they need clearing quickly because of the 45-day payment rule.

All results are live Excel formulas (INDEX-MATCH, SUMIFS, COUNTIFS); tolerance rules sit in an Assumptions sheet and can be changed.
Data is fictional sample data created for practice; no real company or vendor records were used.

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